

Have you had any lapses in discipline?

In the early days, sure, but I haven't taken a real hit for a very long time. I am very disciplined with my stops. If there is one principle that you cannot violate, it is: Know what you can lose.

Are there mistakes you have made that were learning experiences in terms of avoiding similar losses in the future?

I got involved in trading over-the-counter fixed-income. Call it style drift; call it whatever. When 2008 hit, the dealers wouldn't make a market on these things. I would have been up 26 percent for the year instead of 19 percent if it weren't for these trades. I will never again trade a market where liquidity is at the whim of a dealer.

Why with so many interest rate futures markets would you have a need to go to the over-the-counter market?

Good question, thank you. I thought the trade made sense.

But couldn't you express the same trade in futures?

It was a convergence trade involving Muni bonds, so I couldn't actually replicate it in futures. What I found was that there are such great benefits to trading in exchange-traded markets or the interbank market that giving up those benefits is just not worth it. Lower liquidity doesn't work with my style. I need to be able to stop myself out in 10 basis points if I want to.

Did you ever think you were wrong on a trade, but still had trouble liquidating it?

My failsafe is that I always have a stop in the market. Sometimes, though, my intuition tells me that I should get out right away, but I don't do anything, hoping my stop won't be hit. Then sure enough, I end up getting stopped out. My misplaced hope and my desire to still be right sometimes cause my losses to be greater than they need to be. Hope is the worst four-letter word for a trader.

Do you think intuition is important to trading?

It is very important. I think intuition is a subconscious skill you develop over time.